RALPH LAUREN CORPORATION

CONSOLIDATED BALANCE SHEETS

	March 29, 2025	March 30, 2024
	(millions)	
ASSETS		
Current assets:		
Cash and cash equivalents	$ 1,922.5	$ 1,662.2
Short-term investments	160.5	121.0
Accounts receivable, net of allowances of $186.3 million and $175.3 million	459.5	446.5
Inventories	949.6	902.2
Income tax receivable	55.4	56.0
Prepaid expenses and other current assets	242.4	171.9
Total current assets	3,789.9	3,359.8
Property and equipment, net	846.4	850.4
Operating lease right-of-use assets	1,013.1	1,014.6
Deferred tax assets	335.4	288.3
Goodwill	888.5	888.1
Intangible assets, net	62.8	75.7
Other non-current assets	111.2	125.7
Total assets	$ 7,047.3	$ 6,602.6
LIABILITIES AND EQUITY		
Current liabilities:		
Current portion of long-term debt	$ 399.7	$ —
Accounts payable	436.0	332.2
Current income tax payable	146.5	79.8
Current operating lease liabilities	225.4	245.5
Accrued expenses and other current liabilities	926.1	809.7
Total current liabilities	2,133.7	1,467.2
Long-term debt	742.9	1,140.5
Long-term finance lease liabilities	234.8	256.1
Long-term operating lease liabilities	1,044.7	1,014.0
Non-current income tax payable	—	42.2
Non-current liability for unrecognized tax benefits	193.3	118.7
Other non-current liabilities	109.4	113.6
Commitments and contingencies (Note 15)		
Total liabilities	4,458.8	4,152.3
Equity:		
Class A common stock, par value $.01 per share; 112.5 million and 111.7 million shares issued; 39.6 million and 41.4 million shares outstanding	1.1	1.1
Class B common stock, par value $.01 per share; 21.9 million shares issued and outstanding	0.2	0.2
Additional paid-in-capital	3,031.7	2,923.8
Retained earnings	7,590.1	7,051.6
Treasury stock, Class A, at cost; 72.9 million and 70.3 million shares	(7,734.7)	(7,250.3)
Accumulated other comprehensive loss	(299.9)	(276.1)
Total equity	2,588.5	2,450.3
Total liabilities and equity	$ 7,047.3	$ 6,602.6

See accompanying notes.

RALPH LAUREN CORPORATION

CONSOLIDATED STATEMENTS OF OPERATIONS

	Fiscal Years Ended		
	March 29, 2025	March 30, 2024	April 1, 2023
	(millions, except per share data)		
Net revenues	$ 7,079.0	$ 6,631.4	$ 6,443.6
Cost of goods sold	(2,226.1)	(2,199.6)	(2,277.8)
Gross profit	4,852.9	4,431.8	4,165.8
Selling, general, and administrative expenses	(3,863.0)	(3,600.5)	(3,408.9)
Impairment of assets	(0.8)	—	(9.7)
Restructuring and other charges, net	(57.0)	(74.9)	(43.0)
Total other operating expenses, net	(3,920.8)	(3,675.4)	(3,461.6)
Operating income	932.1	756.4	704.2
Interest expense	(44.1)	(42.2)	(40.4)
Interest income	74.0	73.0	32.2
Other expense, net	(11.3)	(9.8)	(4.1)
Income before income taxes	950.7	777.4	691.9
Income tax provision	(207.8)	(131.1)	(169.2)
Net income	$ 742.9	$ 646.3	$ 522.7
Net income per common share:			
Basic	$ 11.86	$ 9.91	$ 7.72
Diluted	$ 11.61	$ 9.71	$ 7.58
Weighted-average common shares outstanding:			
Basic	62.6	65.2	67.7
Diluted	64.0	66.5	69.0
Dividends declared per share	$ 3.30	$ 3.00	$ 3.00

See accompanying notes.

RALPH LAUREN CORPORATION

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Fiscal Years Ended		
	March 29, 2025	March 30, 2024	April 1, 2023
	(millions)		
Cash flows from operating activities:			
Net income	$ 742.9	$ 646.3	$ 522.7
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization expense	219.6	229.0	220.5
Deferred income tax expense (benefit)	(50.0)	(41.1)	3.9
Stock-based compensation expense	107.9	99.5	75.5
Impairment of assets	0.8	—	9.7
Bad debt expense	9.2	7.3	2.3
Other non-cash charges	2.8	13.7	1.0
Changes in operating assets and liabilities:			
Accounts receivable	(27.6)	(15.3)	(52.6)
Inventories	(52.6)	149.1	(106.2)
Prepaid expenses and other current assets	(74.0)	16.1	(19.9)
Accounts payable and accrued liabilities	226.2	15.6	(225.0)
Income tax receivables and payables	27.9	(18.5)	5.7
Operating lease right-of-use assets and liabilities, net	11.7	(36.3)	(17.5)
Other balance sheet changes	90.3	4.3	(9.1)
Net cash provided by operating activities	1,235.1	1,069.7	411.0
Cash flows from investing activities:			
Capital expenditures	(216.2)	(164.8)	(217.5)
Purchases of investments	(781.8)	(392.8)	(598.6)
Proceeds from sales and maturities of investments	734.3	304.3	1,293.4
Other investing activities	(0.4)	(3.5)	(5.8)
Net cash provided by (used in) investing activities	(264.1)	(256.8)	471.5
Cash flows from financing activities:			
Repayments of long-term debt	—	—	(500.0)
Payments of finance lease obligations	(22.0)	(21.3)	(21.9)
Payments of dividends	(201.1)	(194.6)	(198.3)
Repurchases of common stock, including shares surrendered for tax withholdings	(480.9)	(449.7)	(488.6)
Net cash used in financing activities	(704.0)	(665.6)	(1,208.8)
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(8.2)	(13.6)	(8.8)
Net increase (decrease) in cash, cash equivalents, and restricted cash	258.8	133.7	(335.1)
Cash, cash equivalents, and restricted cash at beginning of period	1,670.6	1,536.9	1,872.0
Cash, cash equivalents, and restricted cash at end of period	$ 1,929.4	$ 1,670.6	$ 1,536.9

See accompanying notes.

Cash Paid for Interest and Taxes

Cash paid for interest and income taxes is as follows:

	Fiscal Years Ended		
	March 29, 2025	March 30, 2024	April 1, 2023
	(millions)		
Cash paid for interest	$ 41.4	$ 40.5	$ 39.9
Cash paid for income taxes	151.6	155.5	160.2

RALPH LAUREN CORPORATION

CONSOLIDATED STATEMENTS OF EQUITY

	Common Stock[a]		Additional Paid-in	Retained	Treasury Stock at Cost			Total
	Shares	Amount	Capital	Earnings	Shares	Amount	AOCI[b]	Equity
				(millions)				
Balance at April 2, 2022	131.8	$ 1.3	$ 2,748.8	$ 6,274.9	61.9	$ (6,308.7)	$ (180.3)	$ 2,536.0
Comprehensive income:								
Net income				522.7				
Other comprehensive loss							(15.7)	
Total comprehensive income								507.0
Dividends declared				(199.4)				(199.4)
Repurchases of common stock					5.1	(488.6)		(488.6)
Stock-based compensation			75.5					75.5
Shares issued pursuant to stock-based compensation plans	0.8	—	—					—
Balance at April 1, 2023	132.6	$ 1.3	$ 2,824.3	$ 6,598.2	67.0	$ (6,797.3)	$ (196.0)	$ 2,430.5
Comprehensive income:								
Net income				646.3				
Other comprehensive loss							(80.1)	
Total comprehensive income								566.2
Dividends declared				(192.9)				(192.9)
Repurchases of common stock, including excise tax					3.3	(453.0)		(453.0)
Stock-based compensation			99.5					99.5
Shares issued pursuant to stock-based compensation plans	1.0	—	—					—
Balance at March 30, 2024	133.6	$ 1.3	$ 2,923.8	$ 7,051.6	70.3	$ (7,250.3)	$ (276.1)	$ 2,450.3
Comprehensive income:								
Net income				742.9				
Other comprehensive loss							(23.8)	
Total comprehensive income								719.1
Dividends declared				(204.4)				(204.4)
Repurchases of common stock, including excise tax					2.6	(484.4)		(484.4)
Stock-based compensation			107.9					107.9
Shares issued pursuant to stock-based compensation plans	0.8	—	—					—
Balance at March 29, 2025	134.4	$ 1.3	$ 3,031.7	$ 7,590.1	72.9	$ (7,734.7)	$ (299.9)	$ 2,588.5

[a] Includes Class A and Class B common stock. In Fiscal 2024, 3.0 million shares of Class B common stock were converted into an equal number of shares of Class A common stock pursuant to the terms of the Class B common stock (see Note 16).

[b] Accumulated other comprehensive income (loss).

See accompanying notes.

16. Equity

Common Stock Repurchase Program

A summary of the Company's repurchases of Class A common stock under its common stock repurchase program is as follows:

	Fiscal Years Ended		
	March 29, 2025	March 30, 2024	April 1, 2023
	(in millions)		
Cost of shares repurchased[(a)]	$ 424.5	$ 398.2	$ 454.3
Number of shares repurchased	2.3	2.9	4.8

[(a)] Excludes excise tax of $3.5 million and $3.3 million incurred during Fiscal 2025 and Fiscal 2024, respectively. The Company did not incur excise tax on its shares repurchased during Fiscal 2023.

Repurchased and surrendered shares are accounted for as treasury stock at cost and held in treasury for future use.

Dividends

The Company has generally maintained a regular quarterly cash dividend program on its common stock since 2003.

On May 16, 2024, the Company's Board of Directors approved an increase to the Company's quarterly cash dividend paid on its common stock from $0.75 to $0.825 per share. Dividends paid amounted to $201.1 million, $194.6 million, and $198.3 million for Fiscal 2025, Fiscal 2024, and Fiscal 2023, respectively.

On May 15, 2025, the Company's Board of Directors approved an additional increase to the Company's quarterly cash dividend on its common stock from $0.825 to $0.9125 per share. The first quarterly dividend to reflect this increase is expected to be payable to shareholders of record at close of business on June 27, 2025 and paid on July 11, 2025.

18. Stock-based Compensation

Impact on Results

A summary of total stock-based compensation expense and the related income tax benefits recognized is as follows:

	Fiscal Years Ended		
	March 29, 2025	March 30, 2024	April 1, 2023
	(millions)		
Compensation expense	$ 107.9	$ 99.5	$ 75.5
Income tax benefit	(14.9)	(14.8)	(12.6)

Service-based RSUs

Service-based RSUs granted to certain of the Company's senior executives and other employees, as well as non-employee directors, generally vest over a three-year period, subject to the employee's continuing employment (except for awards granted to retirement-eligible employees, or employees who become retirement-eligible prior to the end of the awards' respective stated vesting periods, as previously discussed). The fair values of service-based RSUs are based on the fair value of the Company's Class A common stock on the date of grant, adjusted to reflect the absence of dividends for any awards for which dividend equivalent amounts do not accrue to the holder while outstanding and unvested.

A summary of service-based RSU activity during Fiscal 2025 is as follows:

	Service-based RSUs	
	Number of Shares	Weighted-Average Grant Date Fair Value
	(thousands)	
Unvested at March 30, 2024	1,054	$ 107.27
Granted	432	160.54
Vested	(552)	110.11
Forfeited	(55)	121.77
Unvested at March 29, 2025	879	$ 130.75

	Service-based RSUs
Total unrecognized compensation expense at March 29, 2025 (millions)	$ 37.8
Weighted-average period expected to be recognized over (years)	1.2

Additional information pertaining to service-based RSU activity is as follows:

	Fiscal Years Ended		
	March 29, 2025	March 30, 2024	April 1, 2023
Service-based RSUs:			
Weighted-average grant date fair value of awards granted	$ 160.54	$ 115.55	$ 92.07
Total fair value of awards vested (millions)	$ 94.0	$ 119.0	$ 56.7